



Generative AI's Act Two: **From Technology Hammer to Real Value**

Based on analysis by Sequoia Capital
September 2023

Six Decades of Technological Progress Converged

Moore's Law (6 Decades)

Exaflops of compute power

The Internet (4 Decades)

Trillions of tokens of training data

Mobile & Cloud (2 Decades)

Supercomputer in every pocket



GenAI Startups Surpassed \$1B Revenue Faster Than SaaS

Real commercial demand exists despite hype-cycle skepticism.

ChatGPT

Fastest

Growing app in history
Strong PMF among devs

Midjourney

\$100M+

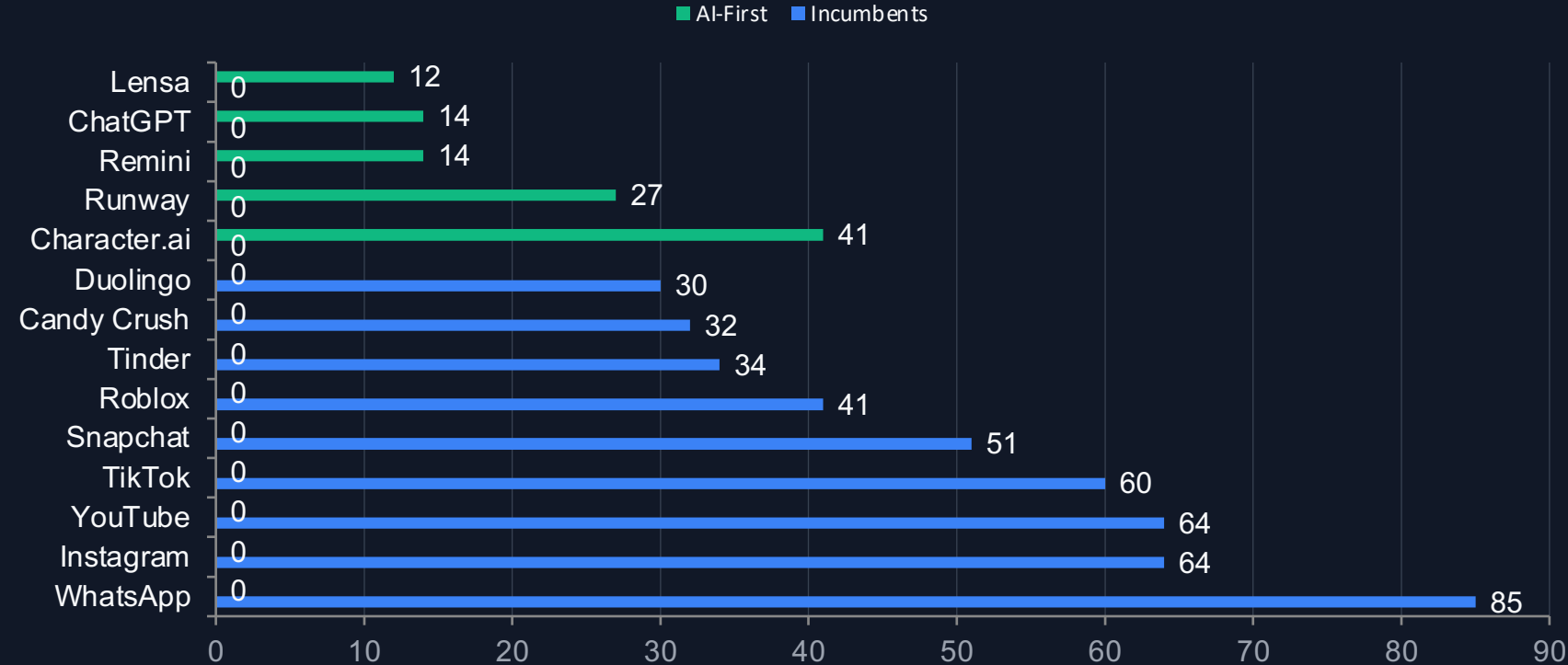
Reported revenue with a
team of just 11 people

Character.ai

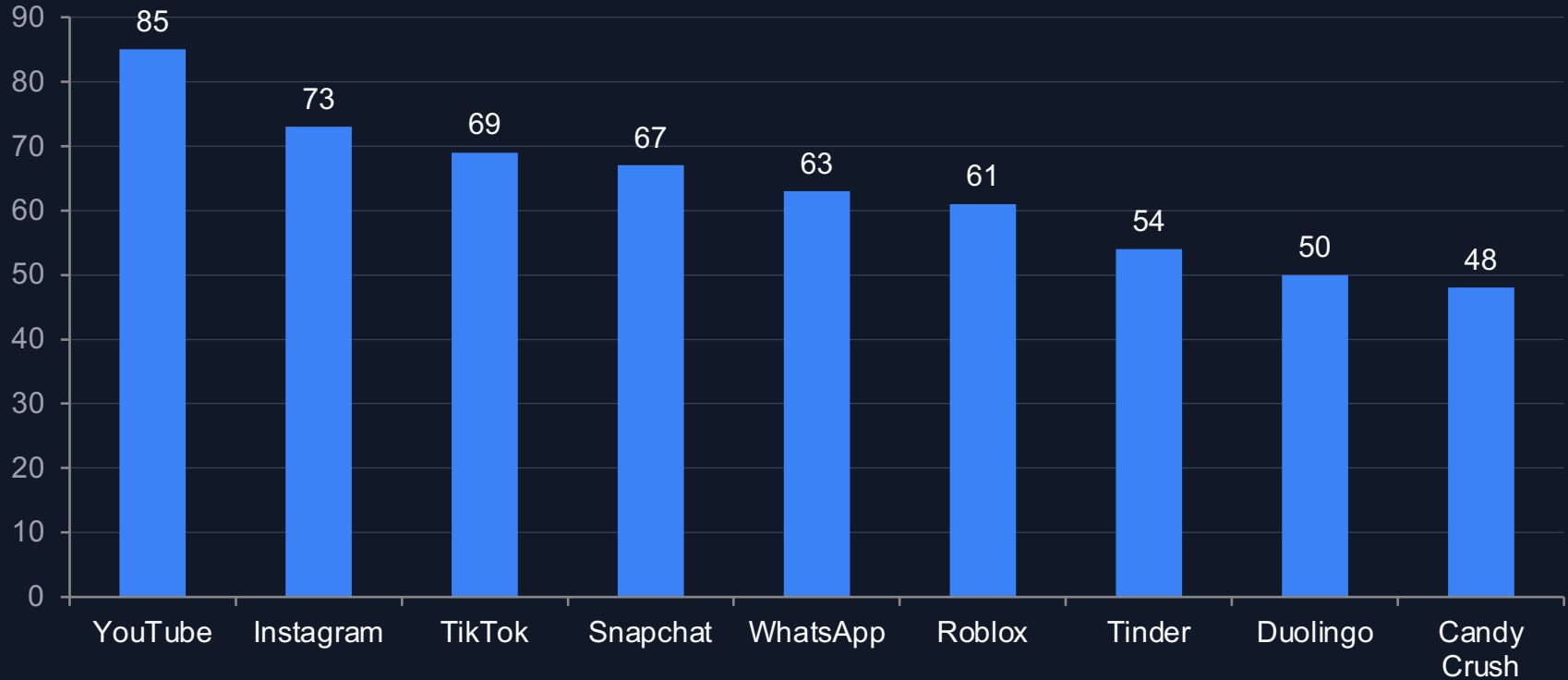
2 Hours

Average user session time
in-app

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



YouTube Leads Incumbents at 85% Monthly Active Usage



Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

- Foundation models as the entire solution
- Novelty apps and lightweight demos
- Thin wrappers around APIs
- Poor user retention (14% median)

Act 2: Customer-Back

- Models as a piece of comprehensive solution
- New editing interfaces for stickier workflows
- Multi-modal capabilities
- End-to-end problem solving

Exemplars: Harvey, Glean, Character, Ava

Market Map Reorganized by Use Case, Not Model Modality

Evolution from model modality to actual value delivery

Legal & Professional

Example: Harvey

Enterprise Search

Example: Glean

Companionship

Example: Character, Ava

Key Takeaways: What Separates Winners in Act Two

1. Retention is the critical challenge

AI-first apps sit at 14% median vs. 51% for incumbents.

2. Foundation models are a component, not the whole product

Act 2 winners use models to power comprehensive solutions.

3. Multi-modal, workflow-integrated solutions will win

New editing interfaces create stickier workflows.

4. The \$1B+ revenue milestone proves real demand

Traction exists despite hype cycles and skepticism.

5. Solving end-to-end human problems will define Act 2